

Table 68.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the pattern's height by subtracting the lowest low from the highest high in the triple top. Subtract the height from the lowest low. The result is the target price. The bottom portion of the table shows how often price reaches the target.
Wait for confirmation	Since price after most three-top patterns continues rising, always wait for price to break out downward before selling or shorting.
Trade the trendline	Draw a trendline connecting the two valleys. If the line slopes upward, the pattern confirms when price closes below the line. Trade after pattern confirmation.
Wait for pullback	The majority of triple tops have pullbacks, so if you miss the breakout, place or add to your short position once price begins heading back down after the pullback.
Stop location	Table 68.7 can help with stop location.
Busted trade	Consider trading a busted triple top in bull markets.

Description	Bull Market	Bear Market
Percentage reaching half height target	72%	78%
Percentage reaching full height target	49%	53%
Percentage reaching 2× height	24%	23%
Percentage reaching 3× height	13%	12%

Measure rule, targets. Use the measure rule to help pick a target to help determine how far down the stock might drop.

Begin with computing the height of the triple top by subtracting the lowest low from the highest high reached in the chart pattern. Subtract the height from the lowest low to give you a target price.

[Figure 68.6](#) makes the computation clearer. The lowest low of the triple top occurs in late December when price touches 17.75 briefly. The third peak